REAMS ASSET MANAGEMENT

Arkansas Teacher Retirement (Israel)

Second Quarter 2026

Portfolio Strategy

Current portfolio strategy is characterized by the following points:

- The long-term objective for this portfolio is to invest in a laddered portfolio of Israeli Institutional Jubilee bonds (IIJB). In this process, no more than $10 million is allowed to be purchased in these bonds in a calendar year.

- Following funding of the account, a laddered portfolio of US Treasurys was purchased such that maturities would align for future purchase of IIJB in the coming years.

- We made an initial purchase of 5-year maturity IIJB. This maturity was selected as the shortest maturity available that would ultimately allow full investment in IIJB considering the $10 million maximum purchase amount in a given year.

- A 7-year US Treasury was purchased to insure that the portfolio maintained an average life between 2.0 and 6.0 years per stated guidelines until a more complete ladder of IIJB can be constructed in future years.

- Anticipated cash flows next quarter will be invested in US Treasury issues to maintain the average life of the portfolio within the stated guidelines.